

ZEBRA TECHNOLOGIES SECOND-QUARTER 2017 RESULTS

AUGUST 8, 2017





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Safe Harbor Statement

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Second-Quarter 2017 Highlights

- Delivered solid Q2 results due to strong execution by our team
- Adjusted net sales of \$897M, above our guidance range; organic net sales growth of 6.4%⁽¹⁾; growth across all regions
- Increased gross profit and reduced operating expenses
- Adjusted EBITDA of 17.7%, an 140 bps year-over-year improvement from 2Q16
- Non-GAAP diluted EPS of \$1.51, up 29% from 2Q16
- Generated \$77M of free cash flow, up \$65M from 2Q16
- \$160M in term loan principal payments in Q2 (\$240M YTD)

⁽¹⁾ Excludes purchase accounting adjustments and sales from the divested wireless LAN business, and assumes constant FX to prior year period.



Second-Quarter P&L Summary⁽¹⁾

In millions, except per share data	2Q17	2Q16	Change
Adjusted Net Sales ⁽²⁾	\$897	\$882	1.7%
Organic Net Sales Growth ^(2, 3, 4)			6.4%
Adjusted Gross Profit ⁽²⁾	\$413	\$409	1.0%
Adj. Gross Margin ^(2,5)	46.0%	46.4%	(40) bps
Adj. EBITDA	\$159	\$144	10.4%
Adj. EBITDA Margin	17.7%	16.3%	140 bps
Non-GAAP diluted EPS	\$1.51	\$1.17	29.1%

- **6.4% Organic Net Sales Growth^(2, 3, 4)**

- Enterprise up 7.9%
- Legacy Zebra up 3.7%

- **Regional Breakdown⁽⁴⁾**

- North America up 9%
- EMEA up 4%⁽³⁾
- Asia Pacific up 2%⁽³⁾
- Latin America up 11%

- **EBITDA improvement**

- Higher gross profit
- Lower operating expense

- **Strong EPS Growth**

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

⁽²⁾ Excludes purchase accounting adjustments

⁽³⁾ Assumes constant FX to prior year period

⁽⁴⁾ Excludes net sales from the divested wireless LAN business. Approximate adverse impacts: consolidated Zebra 4 percentage points (pps), Enterprise segment 6pps, North America 4pps, EMEA 3pps, APAC 6pps, Latin America 1pp

⁽⁵⁾ Excludes stock-based compensation expense

Balance Sheet and Cash Flow⁽¹⁾

Liquidity

- \$95M in cash & cash equivalents as of the end of 2Q17
- No borrowings on \$250M revolver

Debt

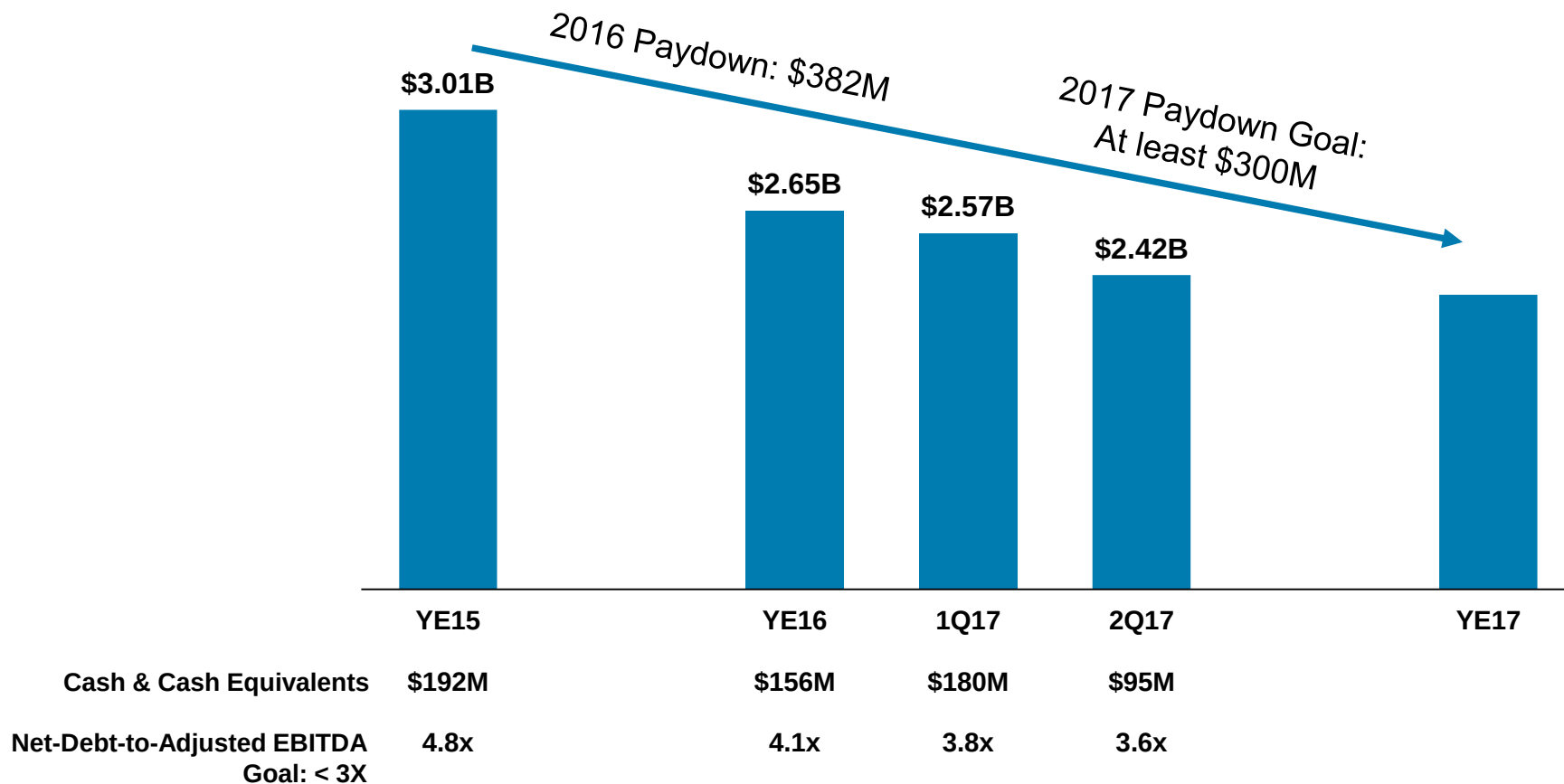
- \$2.4B long-term debt on balance sheet at quarter-end
- \$160M of early principal payments in 2Q17 (\$240M 2Q17 YTD)
- Net-debt-to-adjusted-EBITDA ratio of 3.6x as of the end of 2Q17

Cash Flow

- \$181M free cash flow in 2Q17 YTD
- Primary drivers of 2Q17 YTD free cash flow improvement from 2Q16 YTD:
 - Adjusted EBITDA improvement
 - Lower integration and restructuring expenses
 - Lower interest expense
 - Solid working capital management
 - Lower capital expenditures

⁽¹⁾ Does not include impacts from Zebra's comprehensive debt restructuring which announced on July 26, 2017.

Debt Reduction is a Top Priority



Financed October 2014 Enterprise acquisition with \$3.25B of debt

Comprehensive Debt Restructuring Announcement

Drives > \$45 Million Annual Cash Interest Savings

Reduces Weighted Average Interest Rate by Two Percentage Points to < 4%

AMENDED CREDIT FACILITY

\$687.5M Term Loan A (NEW)

- LIBOR + 2.0%
- Maturity July 2021

\$500M Revolver

- Upsized Capacity from \$250M
- Drawn \$105M (as of 7/26 close)
- LIBOR + 2.0%
- Maturity July 2021

RE-PRICED

\$1.4B Term Loan B

- Reduced principal by \$(75M)
- ↓50 bps to LIBOR + 2.0% on 7/26
- October 2021 Maturity

RETIRING

\$1.05B 7.25% Senior Notes

- Redeemed \$750M of \$1.05B on August 7, 2017
- Plan to Redeem Remaining \$300M by Year-End 2017

Outlook

3Q17

- Adjusted net sales (1)% to +2% vs. LY; organic net sales growth of 2-5%; Excludes adverse impacts of 4 percentage points from wireless LAN, and an estimated 1 percentage point positive impact from FX
- Adjusted EBITDA margin range of 18-19%
- Adjusted EPS range of \$1.65 to \$1.85

FY17

- Narrowing range of organic sales growth outlook to 3-6%, the top-end of our prior guidance; excludes adverse impacts of 3 percentage points from wireless LAN, and minimal impact from FX
- Adjusted EBITDA margin range of 18-19%
- Debt paydown of at least \$300M

Other FY17 Assumptions

- Capital expenditures < 2% of sales
- Depreciation and Amortization of \$260-265M
- Interest expense of \$235-240M, including ~\$72M of redemption costs and transaction fees, \$37-39M of non-cash amortization
- Stock-based compensation expense of \$30-35M
- Non-GAAP tax rate in the low- to mid-20% range

Strategic Focus



Extend **leadership** and outpace the competition



Advance **Enterprise Asset Intelligence** solutions

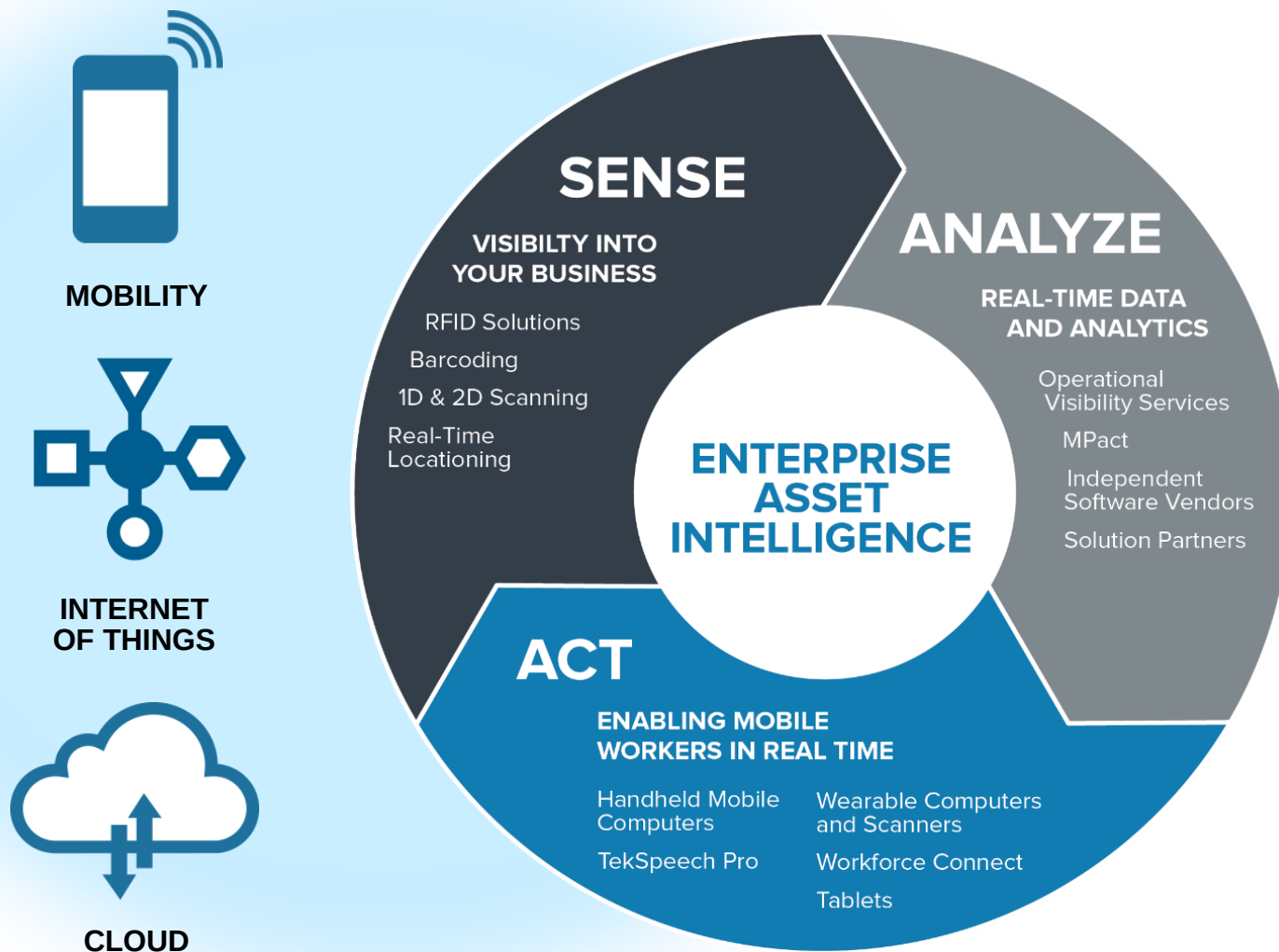


Complete **integration** of Enterprise business



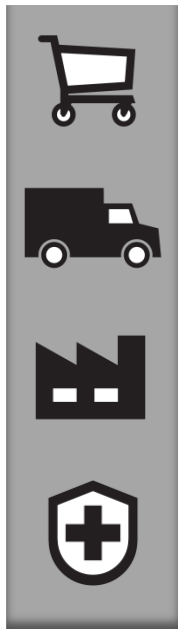
Enhance **financial strength** and flexibility

Our Unique Value Proposition: Enterprise Asset Intelligence



Enabling Visibility Across Vertical Markets

Favorable Industry Dynamics Driving Growth



**Simplify
Operations and
Comply with
Regulations**

**Empower Mobile
Workers**

**Enhance
Customer/Patient
Experience**

**Track Inventory /
Supply Chain
Locationing**



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QUESTIONS?



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APPENDIX

Use of Non-GAAP Financial Information

This presentation contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra's operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in both the current year and prior year periods. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Reconciliation

ORGANIC NET SALES GROWTH

Consolidated Organic Net Sales Growth

	Three Months Ended	Six Months Ended
	July 1, 2017	July 1, 2017
Reported GAAP Consolidated Net sales growth	1.9 %	1.9 %
Adjustments:		
Impact of Wireless LAN Net sales ⁽¹⁾	3.9 %	4.0 %
Impact of foreign currency translation ⁽²⁾	0.8 %	1.0 %
Corporate, eliminations ⁽³⁾	(0.2)%	(0.2)%
Consolidated Organic Net sales growth	6.4 %	6.7 %

Organic Net Sales Growth by Segment

	Three Months Ended	Six Months Ended
	July 1, 2017	July 1, 2017
Reported GAAP Net sales growth		
Legacy Zebra Reported GAAP Net sales growth	2.6 %	2.6 %
Adjustments:		
Impact of foreign currency translations ⁽²⁾	1.1 %	1.1 %
Legacy Zebra Organic Net sales growth	3.7 %	3.7 %
Enterprise Reported GAAP Net sales growth	1.2 %	1.2 %
Adjustments:		
Impact of Wireless LAN Net sales ⁽¹⁾	6.0 %	6.3 %
Impact of foreign currency translation ⁽²⁾	0.7 %	1.0 %
Enterprise Organic Net sales growth	7.9 %	8.5 %

(1) The Company sold the wireless LAN business in October 2016. We are excluding the impact of the net sales of this business in the prior year period when computing organic net sales growth.

(2) Operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, the current period results at the currency exchange rates used in the comparable prior year period, rather than the exchange rates in effect during the current period. In addition, we exclude the impact of the company's foreign currency hedging program in both the current and

(3) Amounts included in Corporate, eliminations consist of purchase accounting adjustments not reported in segments related to the Enterprise Acquisition in October 2014.

GAAP to Non-GAAP Net Income Reconciliation

	Three Months Ended		Six Months Ended	
	July 1, 2017	July 2, 2016	July 1, 2017	July 2, 2016
Net income (loss)	\$ 17	\$ (45)	\$ 25	\$ (71)
Adjustments to Net sales ⁽¹⁾				
Purchase accounting adjustments	1	3	2	6
Total adjustment to Net sales	1	3	2	6
Adjustments to Cost of sales ⁽¹⁾				
Share-based compensation	1	—	1	1
Total adjustments to Cost of sales	1	—	1	1
Adjustments to Operating expenses ⁽¹⁾				
Amortization of intangible assets	52	60	102	119
Acquisition and integration costs	19	34	46	70
Share-based compensation	7	2	15	10
Exit and restructuring costs	1	5	5	10
Total adjustments to Operating expenses	79	101	168	209
Adjustments to Other expense (income) ⁽¹⁾				
Amortization of debt issuance cost and discount	6	6	10	11
Foreign exchange (gain) loss	(2)	5	(1)	3
Forward interest rate swaps gain	(1)	(1)	(1)	(2)
Total adjustments to Other expense (income)	3	10	8	12
Income tax effect of adjustments ⁽²⁾				
Reported Income tax expense (benefit)	2	12	(8)	(1)
Adjusted income tax expense	(23)	(22)	(44)	(41)
Total adjustments to income tax	(21)	(10)	(52)	(42)
Total adjustments	63	104	127	186
Non-GAAP Net income	\$ 80	\$ 59	\$ 152	\$ 115
GAAP earnings (loss) per share				
Basic	\$ 0.33	\$ (0.88)	\$ 0.49	\$ (1.38)
Diluted	\$ 0.32	\$ (0.88)	\$ 0.48	\$ (1.38)
Non-GAAP earnings per share				
Basic	\$ 1.54	\$ 1.18	\$ 2.93	\$ 2.25
Diluted	\$ 1.51	\$ 1.17	\$ 2.87	\$ 2.18
Basic weighted average shares outstanding	51,996,353	51,533,236	51,928,911	51,405,373
Diluted weighted average and equivalent shares outstanding	53,128,657	52,114,954	53,037,956	52,971,905

(1) Presented on a pre-tax basis.

(2) Represents the adjustment to the GAAP basis tax provision commensurate with non-GAAP adjustments.

GAAP to Non-GAAP EBITDA Reconciliation

	Three Months Ended		Six Months Ended	
	July 1, 2017	July 2, 2016	July 1, 2017	July 2, 2016
Net income (loss)	\$ 14	\$ (45)	\$ 22	\$ (71)
Depreciation	20	17	39	35
Amortization of intangible assets	52	60	102	119
Total Other expense	39	56	81	105
Income tax expense (benefit)	5	12	(5)	(1)
EBITDA (Non-GAAP)	130	100	239	187
Adjustments to Net sales				
Purchase accounting adjustments	1	3	2	6
Total adjustments to Net sales	1	3	2	6
Adjustments to Cost of sales				
Share-based compensation	1	—	1	1
Total adjustments to Cost of sales	1	—	1	1
Adjustments to Operating expenses				
Acquisition and integration costs	19	34	46	70
Share-based compensation	7	2	15	10
Exit and restructuring costs	1	5	5	10
Total adjustments to Operating expenses	27	41	66	90
Total adjustments to EBITDA	29	44	69	97
Adjusted EBITDA (Non-GAAP)	\$ 159	\$ 144	\$ 308	\$ 284
Net income (loss) % Net sales	1.6%	(5.1)%	1.2%	(4.1)%
Adjusted EBITDA % of Non-GAAP Sales	17.7%	16.3 %	17.5%	16.4 %

GAAP to Non-GAAP Reconciliation

FREE CASH FLOW

	Six Months Ended	
	July 1, 2017	July 2, 2016
Net cash provided by operating activities (GAAP)	\$ 203	\$ 124
Less: Purchases of property, plant and equipment	(22)	(35)
Free cash flow (Non-GAAP measure) ⁽¹⁾	\$ 181	\$ 89

(1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.